

8.4 Detailed specific example: Botswana



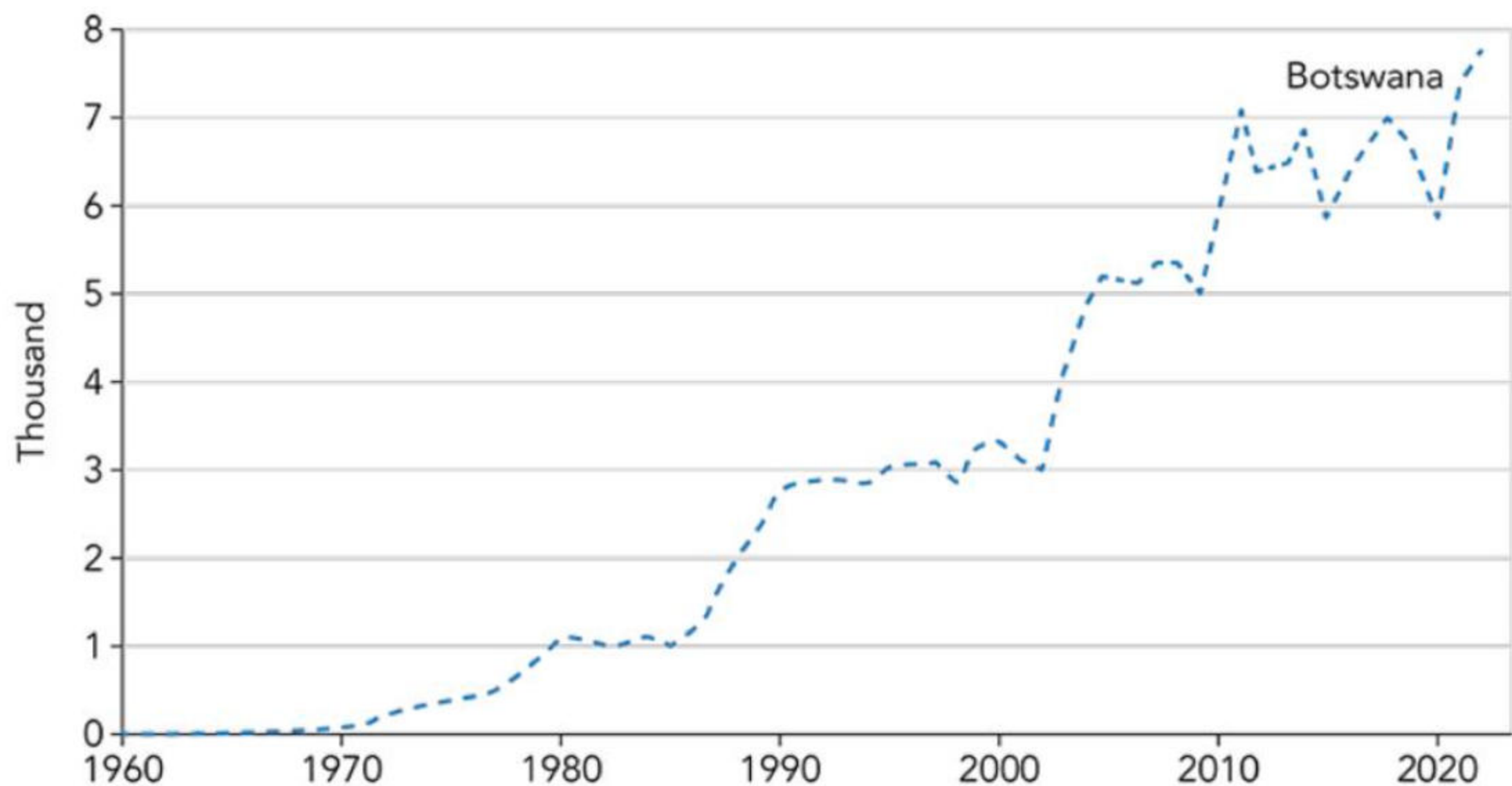
Botswana is a landlocked country located in the south of Africa. For centuries, large parts of Southern Africa were controlled by the British and the Dutch. The country gained its independence from Britain in 1966 and has been a stable democracy since. Over the past few decades, Botswana has been one of the fastest growing economies in the world, with a GDP per capita of \$7738 in 2022, growing from \$1344 in 1950. It is therefore classified as a MIC.

Reasons for Botswana's level of development

Since independence, Botswana has had strong economic growth (Source A). This is due to good economic policies, political stability, and good governance and wealth generated from diamond mining.

In 1967, a huge area of diamonds was discovered at the edge of the Kalahari Desert. The Botswana economy grew quickly with wealth from the diamond mines. Botswana earns about one billion dollars a year from diamond mining, equating to approximately 20% of its GDP.

In 2019, Botswana had the second highest government effectiveness score and was the second least corrupt country in Africa. The country's stable political environment and wealth of natural resources helps attract investment from transnational corporations such as De Beers (a South African/British TNC specialising in diamond mining) and Iamgold (a Canadian gold mining TNC). This investment provides Botswana with strong foreign exchange supplies, which stimulates industrial development and improvement in infrastructure.



Source A: Botswana's GDP over time

► Image Description

TASK 1: Study Source A

- Describe the changes** in Botswana's GDP from 1960–2020.
- Give three different reasons for the rapid economic development of Botswana since the 1990s.
- Explain why having a stable government is an important factor behind economic development.
- Suggest a reason for the most recent dip in GDP. What do you think caused the dip?
- In pairs, discuss why relying on one economic activity, such as diamond mining, might be a risk.

Strategies to raise levels of development

Although Botswana's economy is considered a model for countries in the region, the reliance of the country's economy on diamond mining has made the country vulnerable to global diamond demand fluctuations caused by global economic crises. The economy is now diversifying, though, with different economic activities. For example, the tourism sector has grown a lot in recent years, contributing to 13% of the country's GDP in 2019. Tourists are attracted by wildlife safari opportunities in its large game reserves and the beautiful lakes and islands of the Okavango Delta. The government is encouraging new investments in tourism including new hotels and conference facilities to host international events. It also has a sustainability plan focusing on environmental protection and management of natural resources which includes building tourist eco-lodges in natural parks and game reserves.

To diversify its economy further, there is a national plan to invest and develop its technological sectors, specifically digital technologies such as 3D printing and e-commerce. It is therefore important to upgrade the population's skills through quality education so they are better prepared for jobs in the high-tech sector. Economic diversification and investment in the tourist industry and digital technologies can provide employment opportunities and an income for a range of people with a range of skills. This has a positive effect on quality of life factors such as a person's happiness and level of health. With regular income, more people can afford healthcare and education for themselves and their family raising standards of living. There is, however, an HIV/AIDS epidemic in Botswana and one in every three people are infected with the virus. An ill population reduces economic productivity and unemployment may threaten its future success. There is a risk that without investments in health and education and more job creation, Botswana will not benefit from its 'youth bulge', the large percentage of the population who are working age.

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Figure 8.6: The Okavango Delta

TASK 2

- a** Explain how the growth of tourism can be beneficial for national economic development.
- b** Use the internet to research current information about the percentage of Botswana's population who are now using the internet or own mobile phones. How can it improve quality of life and standard of living? How has it affected economic development?

TASK 3

- a** Explain two reasons why Botswana's economic development may not last.
- b** In pairs, suggest what the Botswana government should do to encourage future development.

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IMPROVE THIS ANSWER

Using examples, describe and explain the advantages and disadvantages of strategies to reduce the human development gap.

Human development generally means the ways in which a country seeks to improve the standard of living and quality of life for its people. Top-down development strategies are led by governments or intergovernmental organisations (IGOs), and include expensive, large-scale development projects. Bottom-up development projects are much smaller in scale and are often community-led with the assistance of non-governmental organisations (NGOs). Top-down strategies include international aid and international trade. Bottom-up strategies include Non-Governmental Organisations and microfinance 1.

Short-term aid 2 can be a relatively quick way to help a country respond to an emergency, such as a flood. Long-term aid can play an important role in improving education, the quality of and access to public health, and to increase the level of skills among the population. However, funds are not always well spent in some countries due to corruption. For example, 40% of Africa's military spending is funded by aid. Some LICs can become dependent on aid and fall further into debt. International trade has the ability to make major contributions to economic growth and development within a country 3.

NGOs work with people at a local level and therefore can provide more efficient and appropriate services, such as assistance with farming equipment and methods. The Fairtrade Foundation 4 is an international NGO to support give better prices, and improve working conditions and fairer terms of trade for farmers and workers in LICs. A fairer, more stable income can lift farmers out of extreme poverty and improve quality of life within communities through improved diet and education and healthcare projects. Microfinance is another important bottom-up strategy. 5

The human development gap is complex and not easy to reduce. There are a range of top-down and bottom-up strategies that can make significant differences on a variety of scales. Each has its advantages and disadvantages so a combination of strategies is required. Good governance and political stability are an important foundation for all countries. 6

1 The introductory paragraph is very strong because it defines key terms 'Development,' 'Top-down', and 'Bottom-up' strategies. The question asks for examples. The answer clearly states two examples of top-down and bottom-up strategies. The introduction clearly 'sets out' the answer.

2 It is important to include key words. This answer does this well, as it uses words such as 'short-term aid' and 'microfinance.'

3 The answer could be improved by giving some disadvantages of trade.

4 The answer states a specific example of an NGO here. This is good because the question asks to 'use examples'.

5 The answer could be improved by describing and explaining some disadvantages of bottom-up development strategies of NGOs and giving more detail about the advantages and disadvantages of microfinance. At the moment, it only says that microfinance is 'an important strategy'.

6 Excellent conclusion, clearly answering the question.

Now, write an improved response to this answer using the guidance above.

SELF-EVALUATION CHECKLIST

After studying this topic, think about how confident you are with the different topics. This will help you to find any gaps in your knowledge and learn more effectively.

I can:	Needs more work	Getting there	Ready to move on
understand the different ways of measuring development			
evaluate the strengths and weaknesses of development indicators to compare countries			
describe and explain the global pattern of LICs, MICs, and HICs			
give reasons for the differences in levels of economic development and the development gap			
understand the importance of sustainable development			
evaluate strategies to address differences in levels of economic development.			



> Topic 9

Economic change

LEARNING INTENTIONS

By the end of this topic you will be able to:

- outline the classification of different industries
- explain how employment structures change in HICs, MICs, and LICs
- understand how various factors influence the changing location and distribution of different industries
- understand the nature of globalisation and its impacts on trade, transport, culture, communications, and technology
- explain the role of transnational corporations (TNCs) and evaluate their impacts to the countries in which they operate
- understand the factors that have led to the global growth of tourism and its impacts
- evaluate the successes and limitations of the sustainable management of tourism.

GETTING STARTED

Working in pairs, take a few minutes to answer the following questions:

- 1 Think of your favourite clothing item and where it was produced. Discuss the possible journey the **raw materials** made, before you bought the end product.
- 2 Do you think the movement of raw materials across the globe is easier today than it was 100 years ago? Discuss why or why not.

Now in small groups:

- 3 Discuss your answers. Are there any big differences in opinion?